

Sunita vs Subhashchandra Ranka on 14 October, 2025

Author: Kuldeep Mathur

Bench: Kuldeep Mathur

[2025:RJ-JD:44171]

HIGH COURT OF JUDICATURE FOR RAJASTHAN AT
JODHPUR

S.B. Civil Revision Petition No. 156/2025

Sunita W/o Late Shri Hansraj Chaplot, Aged About 53 Years, R/o
Nimbahera, District Chittorgarh, Rajasthan, Currently R/o At 16,
Jankinagar Main, Near Ramesh And Ramesh, Indore, Madhya
Pradesh.

----Petitioner

Versus

1. Dr. Subhashchandra Ranka S/o Sh. Lalchandji Ranka,
Occupation Doctor R/o Nimbahera, District Chittorgarh,
Rajasthan.
2. Dr. Snehlata Ranka W/o Dr. Subhashchandra Ranka,
Occupation Doctor R/o Nimbahera, District Chittorgarh,
Rajasthan.
3. Ritika D/o Late Shri Hansraj Chaplot, R/o Nimbahera,
District Chittorgarh, Rajasthan, Currently R/o 16,
Jankinagar Main, Near Ramesh And Ramesh, Indore,
Madhya Pradesh.
4. Tanvi D/o Late Shri Hansraj Chaplot, R/o Nimbahera,
District Chittorgarh, Rajasthan, Currently R/o 16,
Jankinagar Main, Near Ramesh And Ramesh, Indore,
Madhya Pradesh.

----Respondents

Connected With

S.B. Civil Revision Petition No. 157/2025

Sunita W/o Late Shri Hansraj Chaplot, Aged About 53 Years, R/o
Nimbahera, Chittorgarh, Rajasthan, Currently Residing At 16,
Jankinagar Main, Near Ramesh And Ramesh, Indore, Madhya
Pradesh.

----Petitioner

Versus

1. Dr. Subhashchandra Ranka S/o Sh. Lalchandji Ranka,
Occupation Doctor R/o Nimbahera, District Chittorgarh,
Rajasthan.
2. Dr. Snehlata Ranka W/o Dr. Subhashchandra Ranka,
Occupation Doctor R/o Nimbahera, District Chittorgarh,
Rajasthan

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3. Ritika D/o Late Shri Hansraj Chaplot, R/o Nimbahera, District Chittorgarh, Rajasthan, Currently R/o 16, Jankinagar Main, Near Ramesh And Ramesh, Indore, Madhya Pradesh.
4. Tanvi D/o Late Shri Hansraj Chaplot, R/o Nimbahera, District Chittorgarh, Rajasthan, Currently R/o 16, Jankinagar Main, Near Ramesh And Ramesh, Indore, Madhya Pradesh.

--- Respondents

For Petitioner(s) : Mr. Siddharth Tatiya
For Respondent(s) : Mr. Sanjay Nahar

HON'BLE MR. JUSTICE KULDEEP MATHUR

Order Reserved on:- 07/10/2025 Pronounced on:- 14/10/2025

1. Since both the Civil Revision Petitions involve a common question of law, the same are decided by this common order.

2. The brief facts are that the respondents/plaintiffs filed two suits, being Civil Original Suit No. 30/2016 (CIS No.75/2018) and Civil Original Suit No. 31/2016 (CIS No.76/2018), before the learned Additional District Judge No.2, Nimbahera, Chittorgarh.

3. In Civil Original Suit No. 30/2016 (CIS No.75/2018), it was stated that the original defendant No.1, namely Hansraj Chaplot, and respondents/plaintiffs No.1 and 2 entered into an agreement to sell dated 10.07.2013 for the sale of a three-storied building known as "Chopda Wali Haveli" located in Nimbahera, Rajasthan. The total sale price of the property in question was disclosed to be Rs. 25,00,000/-. Against the total sale consideration of Rs. 25,00,000/-, the original defendant received an advance payment (Uploaded on 14/10/2025 at 01:13:28 PM) [2025:RJ-JD:44171] (3 of 8) [CR-157/2025] of Rs. 10,00,000/-. The remaining amount was to be paid within eleven months. The sale agreement was executed between the parties in the presence of one Mr. Sudhir Kumar Kumawat. Upon failure of the original defendant to execute the sale deed pursuant to the agreement to sell dated 10.07.2013, the respondents/plaintiffs filed a suit for specific performance and permanent injunction, seeking enforcement of the said sale agreement and a permanent injunction restraining the petitioner/defendant from alienating the property or creating third-party rights over it.

4. In Civil Original Suit No.31/2016 (CIS No.76/2018), it was stated that a loan agreement dated 10.07.2013 was executed between original defendant No.1 - Hansraj Chaplot and original defendant No.2 - Sunita, as the first party, and respondents/plaintiffs No. 1 and 2 as the second party, whereby

a loan of Rs. 35,00,000/- was advanced by the respondents/plaintiffs to the petitioners/defendants for their business activities and for the construction of a multi-storied building. As security for the loan, seven undated cheques of Rs. 5,00,000/- each were handed over to the respondents/plaintiffs. Upon failure of the petitioners/defendants to repay the amount, a summary suit under Order 37 CPC for recovery of Rs. 47,70,000/-, including the principal and accrued interest as per the terms of the agreement, was instituted.

5. Learned counsel for the petitioners/defendants submitted that in both suits, the petitioners/defendants filed applications under Order 7 Rule 11 CPC for rejection of the plaint on the (Uploaded on 14/10/2025 at 01:13:28 PM) [2025:RJ-JD:44171] (4 of 8) [CR-157/2025] ground that, in both plaints, it is stated that an advance payment of more than Rs. 2,00,000/- was made in cash towards the alleged transactions. He submitted that the Hon'ble Supreme Court of India, in the case of "The Correspondence, RBANMS Educational Institution vs. B. Gunashankar & Anr." reported in 2025 INSC 490, directed that whenever a suit is filed with a claim of Rs. 2,00,000/- and above being paid in cash towards any transaction, the courts must intimate the same to the jurisdictional Income Tax Department to verify the transaction and to examine any violation of Section 269ST of the Income Tax Act. It was urged that the suits were filed in utter disregard of the provisions of the Income Tax Act and were based on agreements that do not fulfill the essential ingredients of a valid contract under Section 10 of the Indian Contract Act, 1872. According to learned counsel, Section 10 of the Indian Contract Act mandatorily prescribes attestation of an agreement by at least two witnesses, whereas, in the present case, the agreements were attested by only one witness, namely Mr. Sudhir Kumar Kumawat. Learned counsel placed reliance on the judgment of the Hon'ble Supreme Court of India in "Asha John Divianathan vs. Vikram Malhotra & Ors." reported in AIR 2021 SC 293.

6. Learned counsel for the petitioners/defendants further submitted that the learned trial Court, while rejecting the applications under Order 7 Rule 11 CPC vide orders dated 31.07.2025, failed to consider that the civil suits filed by the respondents/plaintiffs are barred by the provisions of the Income Tax Act, 1961 and the Indian Contract Act, 1872, and therefore, (Uploaded on 14/10/2025 at 01:13:28 PM) [2025:RJ-JD:44171] (5 of 8) [CR-157/2025] the same ought to be rejected as being barred under Order 7 Rule 11 CPC. Learned counsel thus prayed that the impugned orders dated 31.07.2025 passed by the learned Additional District Judge No.2, Nimbahera, District Chittorgarh, in Civil Original Suits No.30/2016 and 31/2016 be set aside and the applications filed under Order 7 Rule 11 CPC be allowed.

7. Per contra, learned counsel appearing for the respondents/plaintiffs supported the impugned orders. He submitted that a careful perusal of the same indicates that no illegality has been committed by the learned trial Court while rejecting the applications under Order 7 Rule 11 CPC, as the plaints clearly disclose a cause of action that is not barred by law.

8. Heard learned counsel for the parties and perused the impugned orders dated 31.07.2025.

9. Order 7 Rule 11 CPC is reproduced hereinbelow for ready reference:-

"11. Rejection of plaint:- The plaint shall be rejected in the following cases:--

- (a) where it does not disclose a cause of action;
- (b) where the relief claimed is undervalued, and the plaintiff, on being required by the Court to correct the valuation within a time to be fixed by the Court, fails to do so;
- (c) where the relief claimed is properly valued, but the plaint is returned upon paper insufficiently stamped, and the plaintiff, on being required by the Court to supply the requisite stamp-paper within a time to be fixed by the Court, fails to do so;
- (d) where the suit appears from the statement in the plaint to be barred by any law;
- (e) where it is not filed in duplicate;
- (f) where the plaintiff fails to comply with the provisions of rule 9 [Provided that the time fixed by the Court for the correction of the valuation or supplying of the requisite stamp-paper shall not be extended unless the Court, for reasons to be recorded, is satisfied that the plaintiff was prevented by any cause of an exceptional nature from correcting the valuation (Uploaded on 14/10/2025 at 01:13:28 PM) [2025:RJ-JD:44171] (6 of 8) [CR-157/2025] or supplying the requisite stamp-paper, as the case may be, within the time fixed by the Court and that refusal to extend such time would cause grave injustice to the plaintiff.]"

10. The directions issued by the Hon'ble Supreme Court of India in the case of "RBANMS" (supra) are reproduced below for ready reference:-

"(A) Whenever, a suit is filed with a claim that Rs.2,00,000/- and above is paid by cash towards any transaction, the courts must intimate the same to the jurisdictional Income Tax Department to verify the transaction and the violation of Section 269ST of the Income Tax Act, if any.

(B) Whenever, any such information is received either from the court or otherwise, the Jurisdictional Income Tax Authority shall take appropriate steps by following the due process in law, (C) Whenever, a sum of Rs.2,00,000/- and above is claimed to be paid by cash towards consideration for conveyance of any immovable property in a document presented for registration, the jurisdictional Sub-Registrar shall intimate the same to the jurisdictional Income Tax Authority who shall follow the due process in law before taking any action, (D) Whenever, it comes to the knowledge of any Income Tax Authority that a sum of Rs.2,00,000/- or above has been paid by way of consideration in any transaction relating to any immovable property from any other source or during the course of search or assessment proceedings, the failure of the registering authority shall be brought to the knowledge of Chief Secretary of the State/ UT for initiating appropriate disciplinary action against such officer who failed

to intimate the transactions."

11. Section 10 of the Indian Contract Act, 1872, is reproduced below for ready reference:

"10. What agreements are contracts.-

All agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object, and are not hereby expressly declared to be void.

Nothing herein contained shall affect any law in force and not hereby repealed by which any contract is required to be made in writing or in the presence of witnesses, or any law relating to the registration of documents."

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12. Upon careful perusal of the directions issued by the Hon'ble Supreme Court in "RBANMS" (supra) and Section 10 of the Indian Contract Act, this Court finds that the learned trial Court has committed no illegality or perversity in rejecting the applications filed under Order 7 Rule 11 CPC. This is for the reason that the directions in "RBANMS" (supra) pertain to the action to be taken by the courts in suits where it is claimed that Rs. 2,00,000/- and above were paid in cash towards a transaction, to enable verification under Section 269ST of the Income Tax Act, 1961. However, such a direction does not render the suit itself non-maintainable. A suit cannot be dismissed merely on the ground of alleged non-compliance with the said directions if it otherwise discloses a cause of action. Hence, reference to "RBANMS" (supra) is misplaced and cannot be a ground for rejection of plaint under Order 7 Rule 11 CPC.

13. As far as the contention of the petitioners/defendants that the agreement forming the basis of the suit is void on the ground that it bears the signature of only one witness, namely Mr. Sudhir Kumar Kumawat, is concerned, it is sufficient to note that Section 10 of the Indian Contract Act nowhere mandates attestation by any specific number of witnesses. In fact, as per Section 10, the presence of witnesses does not affect the validity of a contract unless expressly required by the statute under which the agreement has been executed.

14. In the opinion of this Court, the plea raised by the petitioners/defendants pertains to the evidentiary validity of the document and cannot be examined at the stage of considering an (Uploaded on 14/10/2025 at 01:13:28 PM) [2025:RJ-JD:44171] (8 of 8) [CR-157/2025] application under Order 7 Rule 11 CPC. In the present case, since the plaints clearly disclose a cause of action that is not barred by any law, the applications under Order 7 Rule 11 CPC have rightly been rejected by the learned trial Court as being devoid of merit.

15. In light of the above discussion, the impugned orders dated 31.07.2025 passed by the learned trial Court rejecting the applications filed under Order 7 Rule 11 CPC are affirmed. The present revision petitions and all pending applications are accordingly dismissed.

16. No order as to costs.

(KULDEEP MATHUR),J 4-5 divya/-

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